

## **complaint**

Mr R is unhappy with the decision by Society of Lloyd's to decline his claim for damage to two of his rental flats

## **background**

Mr R took out a policy with Lloyd's to cover his rented properties in 2013. At the time he was carrying out internal renovations so the properties were unoccupied. A restricted policy was issued with restricted "FLEE" (fire lightning earthquake explosion) cover. In 2014 he made a claim for theft and malicious damage. The properties had by then become tenanted. Lloyd's declined the claim as it pointed out only the restricted cover applied. It hadn't been informed of the tenants moving in. Mr R pointed out a newsletter to its customers from 2012. In that Lloyd's said that it had extended its cover to unoccupied properties except where restricted cover was asked for or it had restricted cover due to structural work being undertaken.

On referral to this service our adjudicator upheld the complaint. She thought that Lloyd's should have offered full cover in line with what it had said. There was no structural work being undertaken nor had Mr R requested restricted cover. She further pointed out that there was no requirement under the policy to inform Lloyd's once the property became tenanted. She also recommended that Lloyd's pay compensation of £200 to Mr R.

Lloyd's disagreed and pointed out that its underwriter wouldn't have offered full cover in Mr R's circumstances.

The matter has been referred to me for a decision.

## **my findings**

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

When Mr R applied for cover he said that there would be internal decoration only, minor renovations/refurbishment only, with no structural changes, for a 12 week period. He confirmed the property would be let out at the end of that period, which it was.

The newsletter said:

*"with effect from 1 April 2012 our Unoccupied Property cover will provide full cover at all times, unless a restricted perils policy is requested or we have restricted cover due to structural work being undertaken"*. Mr R has confirmed that he didn't ask for restricted cover nor was there any structural work being undertaken.

Lloyd's has said it wouldn't have offered full cover in Mr R's case. But it hasn't explained how that accords with what's said in the newsletter. It also said that the increased cover only applied to Subsidence or Accidental Damage. But nothing is said about any restriction on cover in the newsletter. Mr R neither requested restricted cover nor was he carrying out structural work. So I think he was right to expect that full cover would be offered for the properties whilst they were unoccupied.

I take the point about the properties becoming tenanted. Mr R didn't *have* to tell Lloyd's this. I would expect, if it was satisfied the property had become occupied that Lloyd's would have

moved the property onto full cover. But there may have been restrictions on the type of tenant so I don't know if cover would have been offered. The claim has been rejected under the unoccupied property policy so Lloyd's should deal with it under that cover.

I accept that Mr R has suffered some inconvenience because of the way his claim was wrongly rejected. I agree that Lloyd's should pay him £200 compensation.

So overall I think Lloyd's was wrong to reject Mr R's claim as it clearly said its unoccupied property policies provided full cover. It should deal with the claim.

### **my final decision**

I uphold the complaint, I direct Society of Lloyd's to:

- deal With Mr R's claim as if it had full cover subject to the remaining terms and conditions of the policy.
- pay £200 compensation to Mr R for the inconvenience caused to him by its handling of his claim.

Under the rules of the Financial Ombudsman Service, I am required to ask Mr R to accept or reject my decision before 14 December 2015.

Ray Lawley  
**ombudsman.**